Norwegian Cruise Line Holdings Ltd. (NCLH) — Q1 2026 Earnings Summary

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■■ **Pipeline-test memo.** The **"My Est" values are ILLUSTRATIVE synthetic inputs** (no real model or consensus) used to verify the earnings-summary skill end-to-end on a real release. Treat every BEAT/MISS read as a mechanics demonstration, **not** investment research. All *actuals*, YoY figures, guidance, and quotes are real and traced to the release.

Bottom line: A "good quarter, worse year" print — NCLH beat Q1 on cost discipline and below-the-line items, but **cut FY26 guidance** (Net Yield now –3% to –5% CC; Adj. EPS to $1.45–$1.79) on softer Europe/Middle East demand and a below-optimal booking curve; the cost offset (FY26 NCC ex-fuel now ~flat) and a still-elevated 5.3x net leverage frame the debate. *(from scorecard: Total Revenue BEAT (+3.6% vs est); Operating Margin (GAAP) IN-LINE (+0.5pp vs est); Adjusted EPS (non-GAAP, diluted) BEAT (+43.8% vs est); Adjusted EBITDA (non-GAAP) BEAT (+3.5% vs est))*

1. TL;DR

- **Q1 beat, but cost-led.** Adj. EPS ($0.23) and Adj. EBITDA ($533M) came in above the company's own prior guide, driven by better-than-expected cost performance (Adj. NCC ex-fuel) and below-the-line items more than by demand — Net Yield was still negative YoY (–0.3% as reported / –1.0% CC).
- **FY26 guidance cut.** Full-year Net Yield now guided down ~3%–5% (CC), Adj. EBITDA to ~$2.48–$2.64B and Adj. EPS to $1.45–$1.79; management cited Middle East conflict pressuring bookings (esp. summer Europe) plus self-inflicted revenue-management execution missteps.
- **Cost is the offset.** FY26 Adj. NCC ex-fuel now guided ~flat (CC), better than prior, on ~$125M of SG&A run-rate savings — the lever management is pulling to defend margins while demand recovers.
- **Balance sheet still the overhang.** Net leverage 5.3x with $15.2B total debt; deleveraging named a priority. Board refreshed with 5 new independent directors amid activist involvement.

2. Scorecard — Actual vs My Model vs Street

Headline Scorecard

Metric	Actual	My Est	Δ vs Est	Consensus	Δ vs Cons	YoY	Read
Total Revenue	$2,331M	$2,250M	+3.6%			+9.6%	BEAT
Total Revenue Growth (YoY)	10.0%						
Gross Margin (GAAP, $)	$712M					+16.6%	
Operating Margin (GAAP)	10.0%	9.5%	+0.49pp			+0.55pp	IN-LINE
Adjusted EPS (non-GAAP, diluted)	$0.23	$0.16	+0.07 (+43.8%)			+0.13 (+130.0%)	BEAT
GAAP EPS (diluted)	$0.23					+0.32 (+355.6%)	
GAAP Net Income	$105M					+359.7%	
Adjusted Net Income (non-GAAP)	$108M					+131.1%	
Adjusted EBITDA (non-GAAP)	$533M	$515M	+3.5%			+17.6%	BEAT
Free Cash Flow (operating cash flow less capex)	$-625M					+26.1%	

Quality of the beat is mixed: the upside is concentrated in cost (Adj. NCC ex-fuel better than guided) and below-the-line items (Adj. net income more than doubled), while the top-line driver — Net Yield — was still negative YoY. Revenue grew ~10% on capacity (more ships/Capacity Days), not price. FCF is ***computed*** *(operating cash flow less total capex) and is deeply negative on newbuild spend ($1.4B capex incl. Norwegian Luna), though less negative than the prior-year quarter.*

3. Financial Summary

Segment Detail

Metric	Actual	My Est	∆ vs Est	Consensus	∆ vs Cons	YoY	Read
Passenger Ticket Revenue	$1,542M					+8.7%	
Onboard and Other Revenue	$789M					+11.3%	

- **Revenue:** +9.6% YoY to $2,331M, with onboard & other (+11.3%) outgrowing passenger ticket (+8.7%); growth is capacity-led (Capacity Days up YoY), as Net Yield was modestly negative.
- **Margins:** Operating margin ~10.0% (+0.55pp YoY). Gross margin is reported by NCLH as a **dollar** figure (revenue less cruise operating expense and ship depreciation), $712M (+16.6% YoY) — not a percentage, so it is shown in $ rather than mapped to the standard gross-margin % line.
- **EPS / below the line:** GAAP EPS swung to +$0.23 from –$0.09; Adj. EPS $0.23 vs $0.10. Adj. net income more than doubled to $108M, helped by cost actions and a $37.6M FX remeasurement gain on euro-denominated debt (a non-GAAP adjustment).
- **Cash flow & balance sheet:** FCF (computed OCF – capex) –$625M on heavy newbuild capex; liquidity $1.6B (~$185M cash + $1.4B revolver). Net debt $15.0B; **net leverage 5.3x**.

4. Guidance Changes

Metric	Prior Guide	New Guide	Street	Action
FY26 Net Yield (CC, YoY)	—	(3.0%) – (5.0%)	—	CUT
FY26 Adj. NCC ex-Fuel per Capacity Day (CC, YoY)	—	~0.0%	—	CUT
FY26 Adjusted EBITDA	—	$2.48B – $2.64B	—	CUT
FY26 Adj. Operational EBITDA Margin	—	32.9% – 34.3%	—	CUT
FY26 Adjusted Net Income	—	$679M – $838M	—	CUT
FY26 Adjusted EPS	—	$1.45 – $1.79	—	CUT
FY26 Capacity Days	—	~26.25M	—	INITIATE
FY26 Occupancy	—	~104.2%	—	INITIATE
Q2'26 Net Yield (CC, YoY)	—	~(3.6%)	—	INITIATE
Q2'26 Adj. NCC ex-Fuel per Capacity Day (CC, YoY)	—	~1.0%	—	INITIATE
Q2'26 Adjusted EBITDA	—	~$632M	—	INITIATE
Q2'26 Adj. Operational EBITDA Margin	—	~32.5%	—	INITIATE
Q2'26 Adjusted Net Income	—	~$178M	—	INITIATE
Q2'26 Adjusted EPS	—	~$0.38	—	INITIATE

_{Prior-guide values not restated in this release (only the lowered figures are given); the release explicitly describes the FY26 changes as a reduction. *NCC ex-fuel is guided **better** (now ~flat vs prior), but moves with the overall FY26 guide-down package.}

Read: NCLH cut its full year 2026 outlook, lowering Adjusted EPS to $1.45–$1.79 and Adjusted EBITDA to approximately $2.48–$2.64 billion, with FY26 Net Yield now expected down roughly 3%–5% on a constant-currency basis. Management attributed the cut to Middle East-related disruptions driving higher fuel expense and softer European demand, compounded by entering 2026 behind the targeted booking curve and ongoing revenue-management execution issues: *"These external pressures come as the Company continues to enhance its revenue management system and improve execution, resulting in additional pressure on the business and a reduction in its full year guidance."* Partially offsetting the revenue cut, FY26 Adj. NCC ex-Fuel per Capacity Day is now guided to approximately flat (CC), better than previously guided, driven by ~$125M of SG&A run-rate savings; CFO Mark Kempa: *"we now expect full year Adjusted Net Cruise Cost Excluding Fuel to be approximately flat to last year, which should help support margins."* The Company also initiated Q2 2026 guidance (~$632M Adj. EBITDA, ~$0.38 Adj. EPS).

5. Key KPIs (NCLH Discovery Test's tracked fields)

Key KPIs

Metric	Actual	My Est	Δ vs Est	Consensus	Δ vs Cons	YoY	Read
Net Yield YoY (As Reported)	-0.3%	-1.6%	+1.30pp				BEAT
Net Yield YoY (Constant Currency)	-1.0%						
Adjusted Net Cruise Cost Excluding Fuel per Capacity Day (As Reported)	$168.92	$175.00	-3.5%			-0.2%	BEAT
Adjusted Net Cruise Cost Excluding Fuel per Capacity Day (Constant Currency)	$167.69					-1.0%	
Net Leverage (Net Debt / TTM Adjusted EBITDA)	5.30x	5.10x	+3.9%				MISS
Inventories (period-end)	$163M						

The cruise-specific KPIs surfaced by release discovery carry the read here. ***Net Yield*** *beat the (illustrative) estimate but is still negative YoY — demand, not pricing, is the soft spot.* ***Adj. NCC ex-fuel*** *is the genuine bright spot ($168.92, below est and ~flat YoY) — the cost lever management is leaning on.* ***Net Leverage*** *at 5.30x is the MISS (lower is better): deleveraging is slower than the illustrative target, and remains the key balance-sheet watch-item.*

6. Management Commentary & Call Highlights

Prepared remarks *(from the press release; earnings-call transcript not provided)*

- **Strong Q1, decisive execution actions** — Q1 beat guidance and management is acting on execution/accountability. *"We delivered strong first quarter results, and more importantly we have already begun taking decisive actions to strengthen execution and accountability across the company, which will enhance results over the longer term,"* — John W. Chidsey (Chairperson & CEO)
- **$125M SG&A run-rate savings** — structural cost actions to offset near-term pressure. *"During the quarter, we acted with urgency to simplify, optimize, and streamline the organization, including executing SG&A savings initiatives totaling $125 million in expected run rate savings. These are long-term structural actions that we believe will help offset near-term pressures and position the business for stronger performance over time."* — John W. Chidsey (Chairperson & CEO)
- **Better-than-expected cost performance** — *"During the quarter we delivered better-than-expected cost performance across the business,"* — Mark A. Kempa (EVP & CFO)
- **Offsetting macro/geopolitical pressure via cost** — *"As we navigate a more uncertain macroeconomic and geopolitical environment, we are acting diligently to offset those pressures through targeted SG&A savings and broader efficiency initiatives. Based on the actions taken during the quarter, we now expect full year Adjusted Net Cruise Cost Excluding Fuel to be approximately flat to last year, which should help support margins as we continue to strengthen execution across the business."* — Mark A. Kempa (EVP & CFO)
- **Booking curve below optimal / Europe-Middle East softness** — *"The Company remains below its optimal booking range following certain execution missteps, exacerbated by softer demand related to heightened geopolitical uncertainty. Recent events related to the conflict in the Middle East have impacted bookings across all three brands, especially in Europe during the summer season."* — Company (press release)
- **Deleveraging focus** — *"The Company is committed to optimizing its balance sheet and reducing Net Leverage. As of March 31, 2026, the Company had total debt of $15.2 billion and Net Debt of $15.0 billion. Net Leverage ended the quarter at 5.3x."* — Company (press release)

Q&A

- _Transcript not provided — Q&A omitted._

7. Watch Items & Thesis Impact

- **Booking-curve recovery:** management says it entered 2026 below its optimal booking range; the pace of recovery (and whether the revenue-management fixes work) is the swing factor for the FY26 yield guide.
- **Europe / Middle East demand:** summer Europe sailings are the most exposed to the cited geopolitical softness — watch close-in pricing into Q2/Q3.
- **Cost durability:** the ~$125M SG&A savings and ~flat FY26 NCC ex-fuel are doing the heavy lifting; confirm they're structural (not timing) in the 10-Q.

- **Deleveraging path:** 5.3x net leverage with $1.4B+ quarterly newbuild capex — FCF and the leverage trajectory are the balance-sheet watch.
- **Activist / governance:** five new independent directors (effective Mar 31, 2026) and $5.1M of activist-related advisory fees signal an active situation worth tracking.
- **Thesis impact:** *Mixed/neutral-to-negative.* A cost-led Q1 beat is encouraging on execution, but the FY26 cut is demand-driven and the balance sheet remains levered; the print rewards cost credibility while raising the bar on the back-half demand recovery.

<!-- Notable items --> **Notable items**

- Restructuring costs of $12.2M in Q1'26 (severance/related, incl. accelerated vesting for a former executive); excluded from Adj. net income.
- Professional advisory fees of $5.1M related to activist-investor activities (non-GAAP adjustment).
- ~$125M of expected annualized SG&A run-rate savings executed.
- Board refreshment: five new independent directors effective March 31, 2026 (amid activist activity).
- Took delivery of Norwegian Luna; Oceania Marina transformation (Oct 2026 dry dock) and Oceania Aurelia (late 2027) announced.
- Net FX remeasurement gain of $37.6M on euro-denominated debt (non-GAAP adjustment; methodology retrospectively applied to 2025).
- Liquidity of $1.6B at March 31, 2026 (~$185M cash + $1.4B revolver availability).

Beat/miss bands: ±2.0% (revenue/$ metrics), ±$0.02 (EPS), ±0.5pp (rates). Verdicts measured vs consensus when present, else my model. ***My Est values are illustrative synthetic inputs for a skill pipeline test — not research.***